HARBOURLIGHT MEDIA

Clearance Guide: Financial Promotions

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1. What this guide covers

This guide covers consumer credit copy that states or implies what credit costs, or how easy it is to get. It is used by the Clearance Executive who reviews the copy, from the first read until the issue is settled, and by Agency Liaisons advising agencies before they submit.

It arises in consumer credit copy: credit cards, personal loans, buy now pay later plans, car finance and short-term loans.

This guide is about what credit costs, including a 0% or interest-free period, and how easily it is given. A gift, a voucher or cashback offered with a credit product is a price or offer claim, and the Price and Offer Claims guide covers it.

Whether a campaign's spots may be transmitted is a separate question, settled by the category's own code. This guide is about the copy.

2. How it usually shows up

- a monthly repayment, a low weekly figure, an interest-free period or a rate of 0% for a set number of months
- a representative APR that is missing, or much smaller than the repayment figure
- guaranteed approval, no credit checks or approval in minutes
- a pay-later plan that does not say missed repayments can affect a credit rating
- a short-term loan without the risk warning

3. What the executive checks

For a financial promotion, the Clearance Executive checks, in this order:

1. List every figure about the cost of credit the copy states, whether spoken or written.
2. Check that any such figure brings in the representative APR and the representative example, shown at least as prominently.
3. Check the total amount repayable is clear wherever the representative example is required.
4. Check that nothing suggests credit is guaranteed or given without affordability checks.
5. For pay-later plans, check the credit rating statement; for short-term loans, the risk warning.

4. Evidence to ask for

- the lender's representative example
- the representative APR and how it was worked out
- the lender's approval criteria, for any claim about approval

5. When the copy can be cleared

The copy can be cleared once every figure about the cost of credit is shown with the representative APR and the representative example, at least as prominently as the figure, and nothing overstates how easily credit is given. The usual amendment is to add the representative APR and the total amount repayable to the end frame.

6. What the agency should do

Before submitting, and when answering a query, the agency should:

- Show the representative APR and the representative example whenever any cost figure appears.
- Give them at least the prominence of the most prominent cost figure.
- Remove claims of guaranteed approval or of no checks.
- Send the lender's representative example with the copy.

7. When to ask for a legal review

Ask for a legal review when a figure may bring in the representative example, or when the agency says the rate shown is the one most customers get.

The Legal Adviser records the review on the campaign, and its view carries more weight than any other note.

8. Recording the outcome

The outcome is recorded in an update on the campaign: the copy amended, the evidence accepted, or the copy cleared as submitted.

The assessment then recommends one of the decisions open for the campaign, and a Clearance Controller decides, as the Advertising Clearance Policy describes. Copy that cannot be cleared is rejected, whatever its spots' results.